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Korea Needs Tokenized Deposit, and Strategies Beyond

Report Type	Industry Research
Key Topics	Deposit Tokens · Tokenized Deposits · Won Stablecoins · Project Hangang
Key Question	In what sequence should Korean banks respond to the shift toward onchain money
Recommendation	Build deposit token rails inside Project Hangang → prepare won stablecoin issuance for the Digital Asset Basic Act → serve offshore flow through secured structures current rules permit
References	Tempo, "Tokenized Money for Banks" (2026) and public sources

Heechang (Four Pillars) | August 10, 2026

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Key Takeaways

- Tokenized cash is already settling wholesale markets around the clock, while stablecoin migration could erode the deposit base, so banks must offer money that works on onchain rails.
- Tokenized deposits answer both pressures. The client gains onchain settlement while the claim stays a deposit, preserving insurance, interest, and the lending relationship.
- Korean banks can build this today through Project Hangang, and the JPMD precedent shows deposit tokens can reach public blockchains under whitelisted access ahead of the stablecoin law.
- The law sets the sequence. Build deposit token rails now, prepare won stablecoin issuance for when the Digital Asset Basic Act passes, and move before others capture the flow.

* This report was written from inspiration from Tempo's research "Tokenized Money for Banks."

Key Takeaways

1. Tokenized Deposits Should Be on the Banks' Agenda
2. Deposit Tokens Beyond CBDC
3. Korean Banks Need to Prepare in Three Ways

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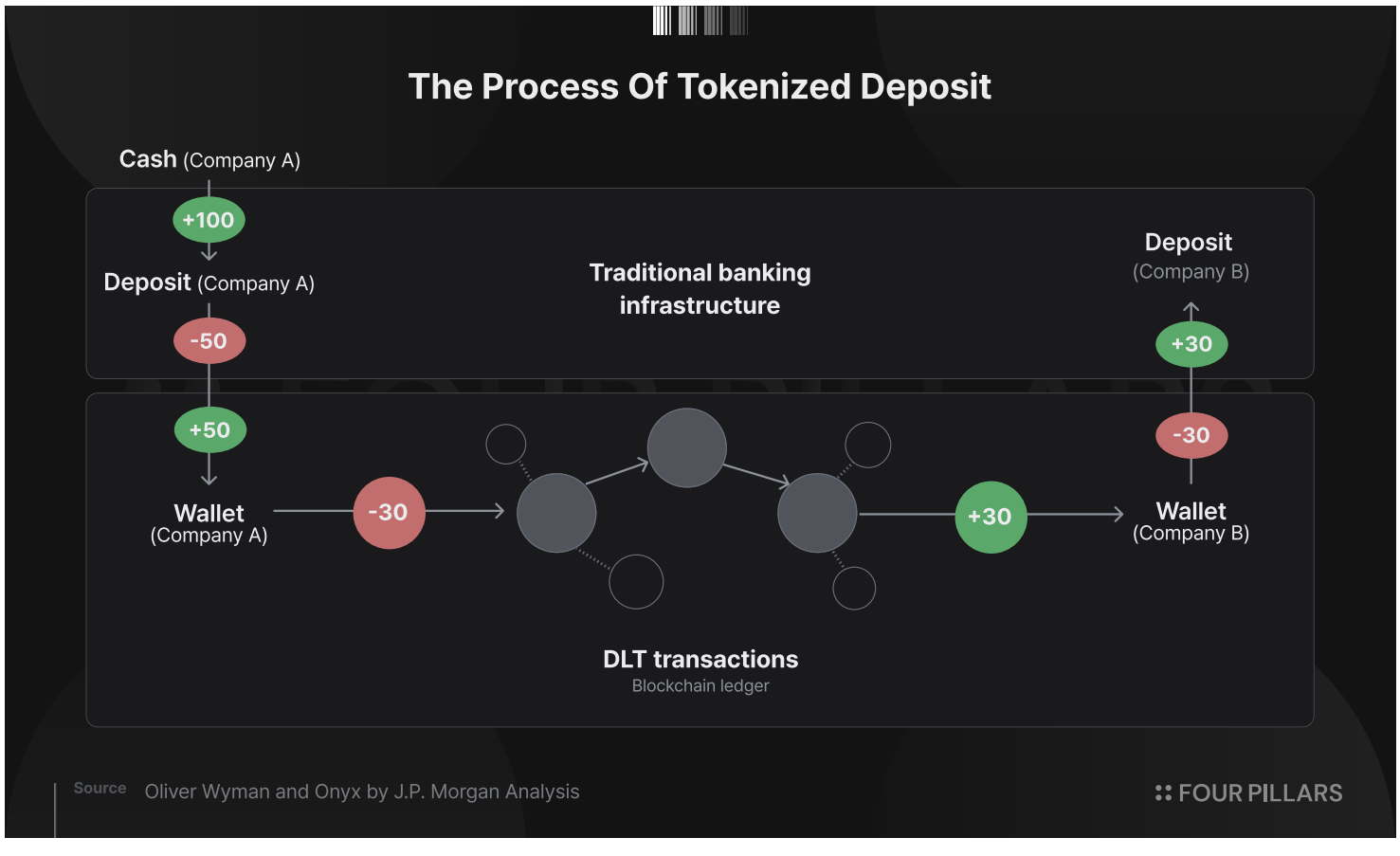
SESSION 01

I. Tokenized Deposits Should Be on the Banks' Agenda

New Trend, and New Threat or New Opportunity

1. Tokenized Deposits Should Be on the Banks' Agenda

1.1 New Trend



Source: How Deposit Tokens Are Changing The Digital Money Ecosystem (Oliver Wyman)

GFMA's April 2026 report on digital money in capital markets identifies three arenas where tokenized cash is already in active use: the cash leg of securities settlement, repo and securities finance, and derivatives margin. In each one assets move around the clock while the bank deposits funding them keep office hours. DTCC's May 2026 research projects that intraday repo on tokenized rails could roughly halve intraday funding costs at large dealers, so institutional flow will route toward whichever bank supplies settlement money that keeps pace.

Tokenized deposits are the form of that money banks have been testing. JPMorgan has settled wholesale payments on blockchain rails since 2019, and with the GENIUS Act, MiCA, and Basel SCO60 in force since January 2026, those rails are soon to expand to public networks. In June 2026 JPMorgan, Citi, Bank of America, and other major US banks announced a shared tokenized deposit network operated by The Clearing House, targeting launch in the first half of 2027.

Central banks are validating the same architecture. BIS Project Agorá, which brings together seven central banks and more than 40 commercial banks, reported in May 2026 that atomic cross border settlement combining tokenized deposits with tokenized central bank money works, and advanced to real value testing. That is the similar two tier design Project Hangang implements in Korea.

Key Takeaways

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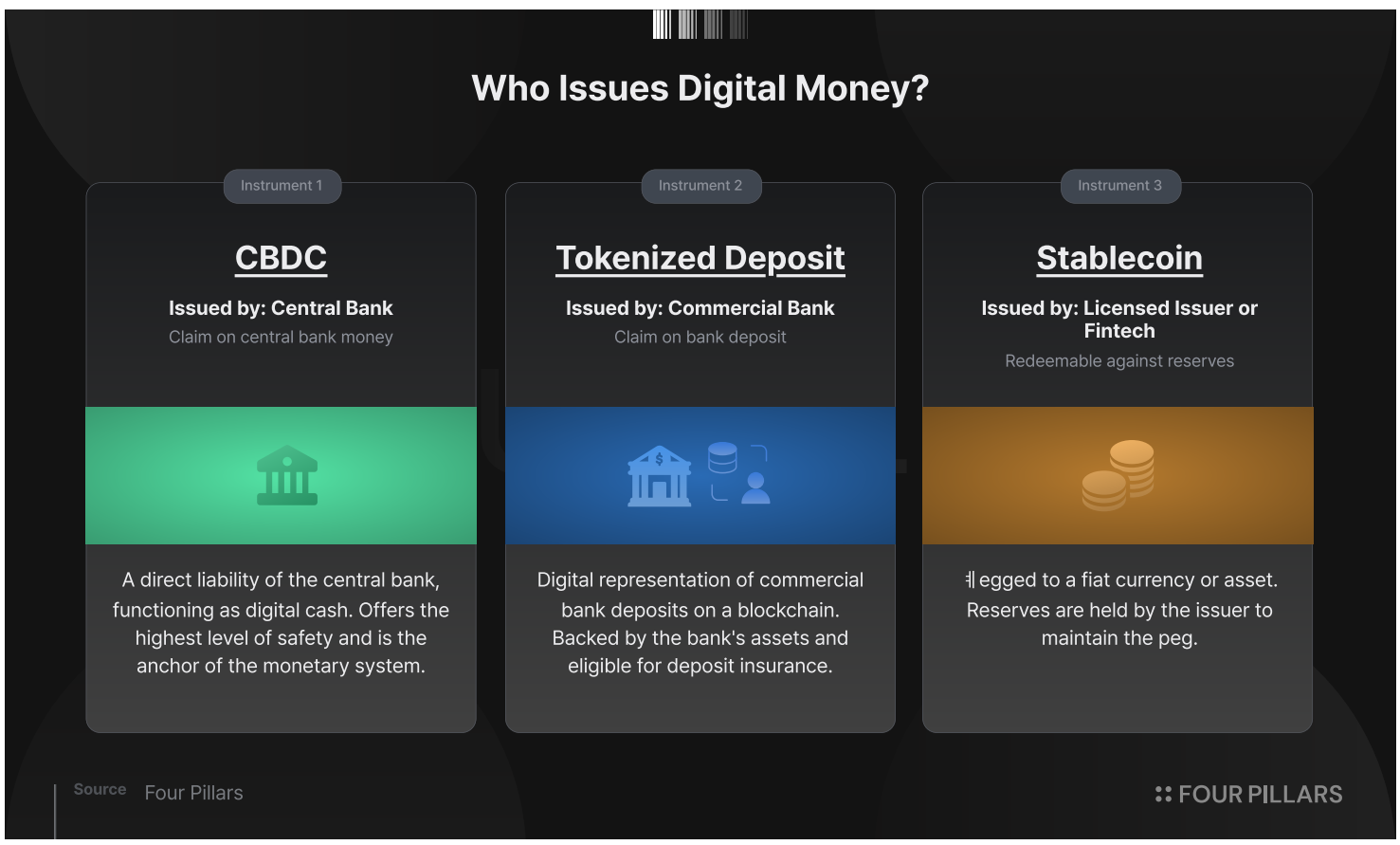
For Korean banks the implication is direct. Project Hangang is pushing deposit tokens toward commercial use, the government has flagged grant disbursement worth as much as 110 trillion won a year as a target use case, and Korean institutions that trade US assets will need tokenized won rails that connect to the rebuilt settlement layer. A bank that supplies tokenized won settlement keeps that flow on its own books; without it the cash leg defaults to foreign banks and dollar stablecoins.

Whether all of this lands as a threat or an opportunity depends on what each bank builds next.

Key Takeaways

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1.2 New Threat or New Opportunity



Source: Four Pillars

The same trend can work against a bank or in its favor, and US authorities have now quantified both sides. The US Treasury's Borrowing Advisory Committee identified roughly $6.6 trillion of transactional deposits as the tier most exposed to migration into stablecoins, against a stablecoin market projected to reach about $2 trillion by 2028. The Federal Reserve followed in December 2025 with its own analysis of what that migration would mean for deposits, credit supply, and funding costs.

Modeling by the Bank Policy Institute sharpens the downside. If stablecoin adoption approaches $4 trillion and issuers find ways to pass through yield, US bank deposits could shrink by $3.7 trillion and lending by $2.7 trillion, because a redeemed deposit stops funding loans. The threat is therefore a funding franchise problem before it is a payments problem.

The migration channel already works at scale. Stablecoins moved more than $300 billion in payment volume over the past year, Visa settles over $7 billion in stablecoin card volume annually, and Trade.XYZ has cleared more than $100 billion on its S&P 500 perpetual since March 2026 with every contract margined in stablecoins. Korea is already inside this picture: the Financial Services Commission estimates that 60 billion dollars of Korean flow moved to offshore venues in the second half of 2025 alone, settling in dollar stablecoins that no Korean bank issues or touches.

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The opportunity side is just as concrete, and it belongs to banks. J.P. Morgan's JPMD deposit token can pay interest because the underlying claim stays a deposit, while a stablecoin issued under the GENIUS Act cannot, so the client gains public chain settlement and the bank keeps the balance sheet relationship. The Clearing House network shows an entire banking system converting the threat into shared infrastructure instead of ceding the rail to outside issuers.

Korean banks enter this contest with structural advantages. S&P Global Ratings expects Korean banks to be the major issuers in the early stage of won stablecoin adoption because their risk management frameworks already satisfy regulators, and the current Bank of Korea governor said in April 2026 that won denominated stablecoins would play a role in the future currency ecosystem. A deposit token issued inside Project Hangang adds deposit insurance and interest on top, a package no offshore stablecoin can copy.

So the answer to the title's question is conditional. Tokenized money is a threat to the bank that waits and an opportunity to the bank that builds, and both tokenized deposits and stablecoins are the opportunity for those who grab it.

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SESSION 02

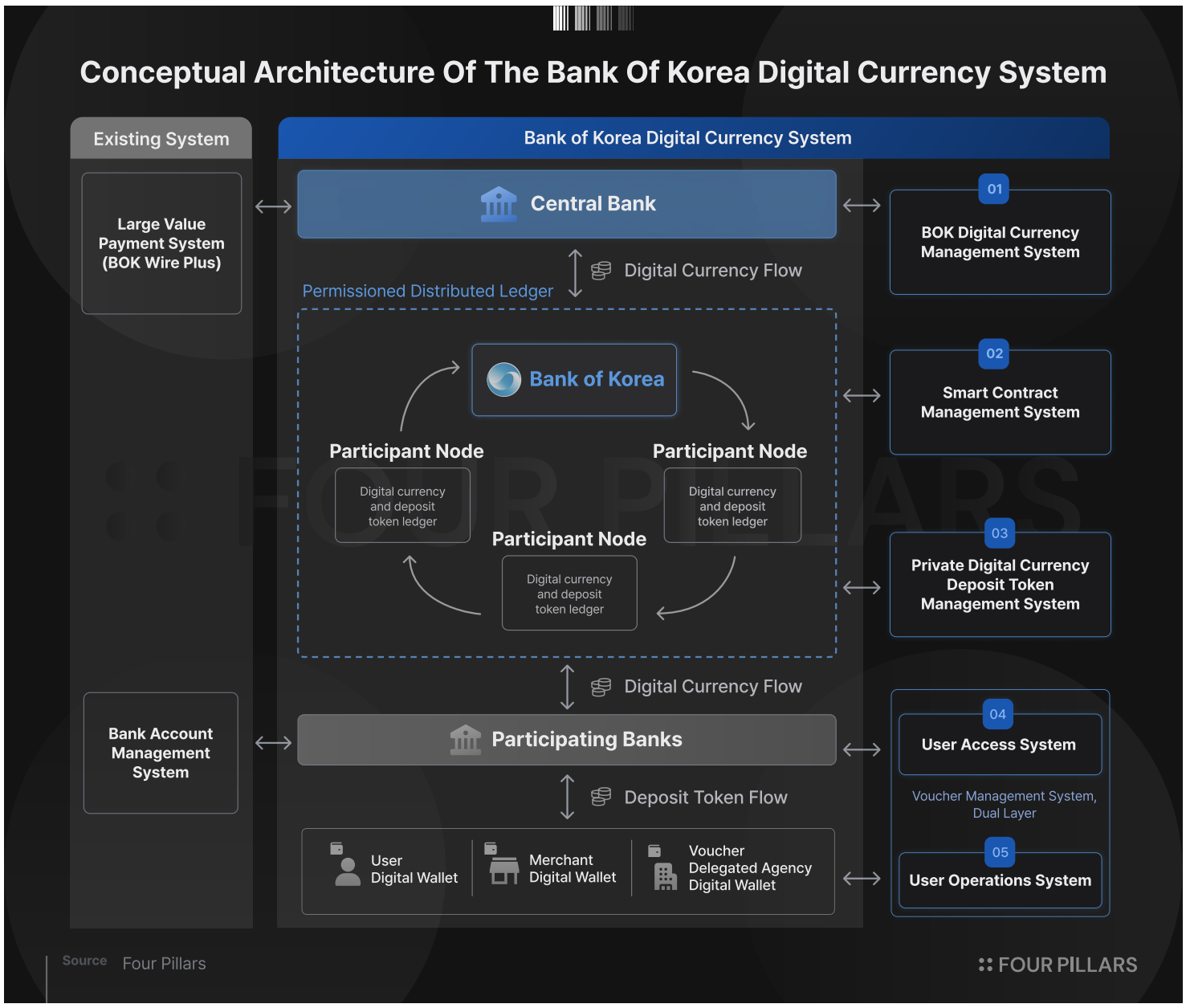
II. Deposit Tokens Beyond CBDC

For Now CBDC is the Focus, and Permissioned to Permissionless Network

2. Deposit Tokens Beyond CBDC

A common objection is that deposit tokens collide with the CBDC roadmap. In Korea the opposite is true, they are the part of the roadmap only commercial banks can build.

2.1 For Now CBDC is the Focus



Source: Bank of Korea (BOK)

Project Hangang implements the BIS unified ledger concept as a two tier system: Bank of Korea issues wholesale CBDC for interbank settlement, and commercial banks issue deposit tokens on top of it. The first live phase ran from April to June 2025 with seven banks, letting capped pilot users convert deposits into tokens and pay by QR code at designated merchants, including programmable vouchers linked with local governments. Usage stayed thin, and the seven banks reportedly spent a combined 35 billion won on the trial, prompting open complaints about cost.

The project nearly stalled in mid 2025 as banks drifted toward stablecoin initiatives, and it was revived only after Bank of Korea identified a use case with real fiscal weight: government grant disbursement, a channel worth roughly 110 trillion won a year. Phase 2, announced in March 2026, expands the pilot to nine banks by adding Kyongnam Bank and iM Bank, targets roughly 500,000 users, and adds peer to peer transfers, biometric authentication, and automatic deposit conversion. Live testing runs in the second half of 2026, including a trial that pays out electric vehicle subsidies in programmable tokens that can restrict how the funds are spent.

Key Takeaways

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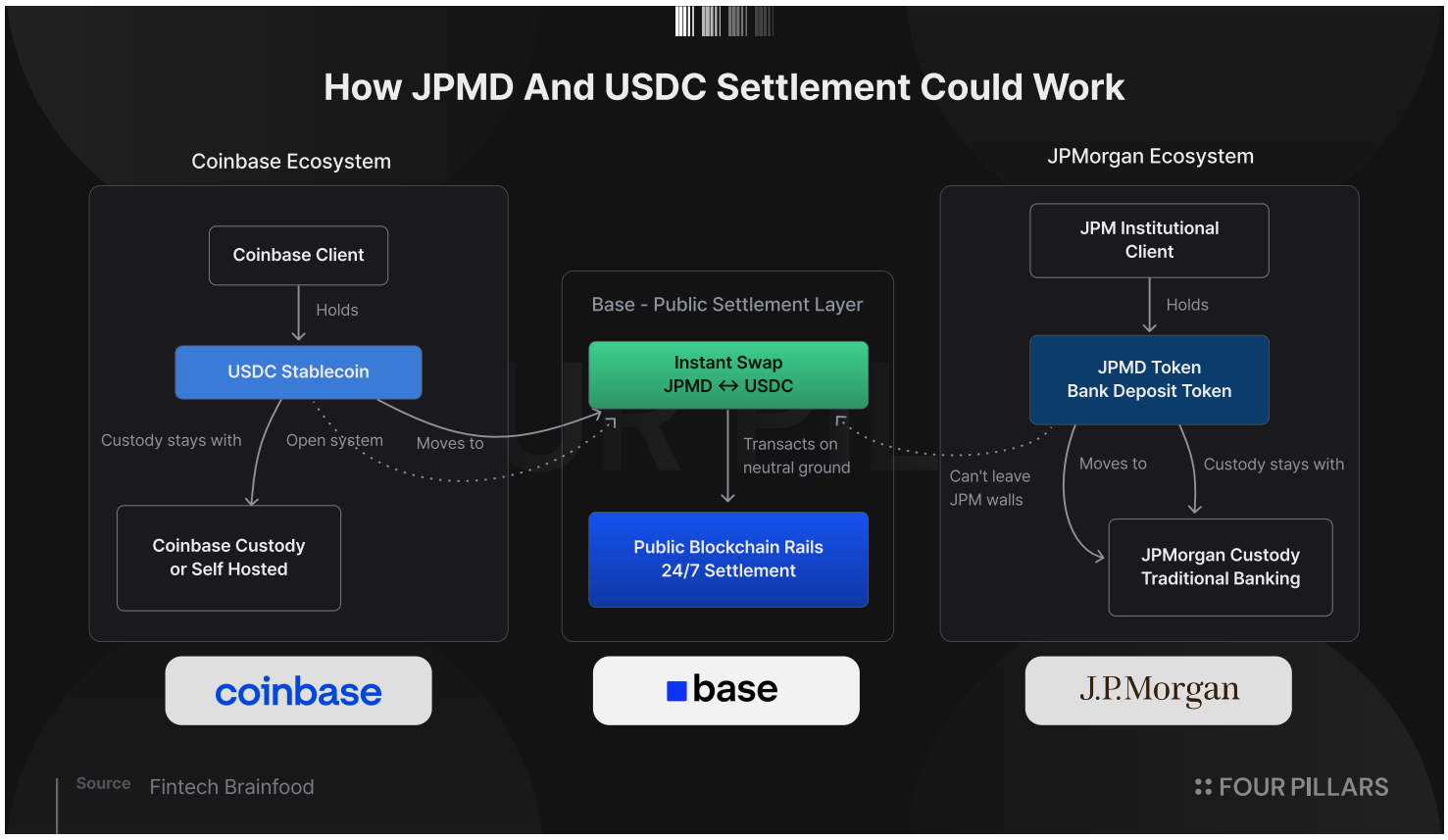
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Governor Hyunsong Shin presented Project Hangang at the ECB's 2026 central banking forum as a working demonstration that tokenized money can preserve the singleness of money when interbank settlement stays anchored in central bank money. The message is that deposit tokens are the layer of the national roadmap that only commercial banks can build.

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2.2 Permissioned to Permissionless Network



Source: The tokenized-deposit vs. stablecoin fight is a distraction (Fintech Brainfood)

Project Hangang settles the interbank layer with a deliberately closed design. Its Digital Currency System runs on Hyperledger Besu with Bank of Korea as the sole authoritative validator under proof of authority consensus, so every participant is known and every transaction is finalized in central bank money. That architecture preserves the singleness of money inside Korea and leaves one question open: whether Korean deposit tokens can ever circulate on the public blockchains where institutional onchain activity concentrates.

Global banks have answered that question in production, and the mechanism is instructive. J.P. Morgan launched JPMD on Base in November 2025 as the first bank issued dollar deposit token on a public blockchain, then announced native issuance on Canton Network in January 2026 with a phased rollout through the year. Transfers are restricted to KYC verified institutional wallets, so the claim stays a deposit on the bank's balance sheet while the token moves on an open network.

Deutsche Bank's 2026 digital money whitepaper generalizes the template: banks can issue deposit liabilities on public chains under whitelisted access, bringing regulated bank money to the venues where clients would otherwise convert into stablecoins first. The BIS 2026 Annual Economic Report reinforces the point by warning that purely permissioned networks risk becoming walled gardens that dampen competition. Public network reach is becoming a competitive requirement for deposit tokens.

For a Korean bank, the JPMD precedent means public chain distribution can be scoped today. Whitelisted access keeps the claim a deposit on the bank's balance sheet while the token reaches the networks where institutional clients already transact.

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2.3 Where Public Blockchain Fits is the Next Question

The tech therefore exists, and in Korea the remaining barrier is legal. The Digital Asset Basic Act is deadlocked as Bank of Korea wants won stablecoin issuance anchored in banks, reportedly through a 51% ownership requirement, while Financial Services Commission warns that a bank only regime would suppress fintech competition. The bill slipped from late 2025 into 2026 and has not passed as of mid 2026, so no Korean bank can legally place won denominated money on a public network at scale.

The market is already pressing against that boundary while the cost of the vacuum compounds. Eight major banks are preparing shared won stablecoin infrastructure and filing trademarks, and the custodian BDACS issued KRW1 on the public Avalanche network in September 2025 with reserves escrowed at Woori Bank, the largest role current law permits a bank to play. Meanwhile 47 trillion won of Korean flow moved to overseas exchanges and wallets in the first half of 2026 alone and domestic stablecoin linked volume has passed 60 trillion won, all settling in dollar stablecoins on rails no Korean bank operates.

These constraints sort a Korean bank's options into three routes with different gates. Deposit tokens are open today inside Project Hangang, and the JPMD precedent shows they can reach public networks under whitelisted access ahead of the stablecoin law because the claim stays a deposit under the bank's control. Won stablecoin issuance opens only when the Digital Asset Basic Act passes, and third party stablecoins already reach the offshore venues where Korean flow trades.

For a Korean bank, the law sets the sequence. Build the deposit token rail inside Project Hangang now, prepare won stablecoin issuance for the day the Digital Asset Basic Act passes, and serve offshore flow through the secured structures that current rules permit.

Key Takeaways

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SESSION 03

III. Korean Banks Need to Prepare in Three Ways

Three Tracks Proposed by Tempo, and Don't be Left Out

3. Korean Banks Need to Prepare in Three Ways

Key Takeaways

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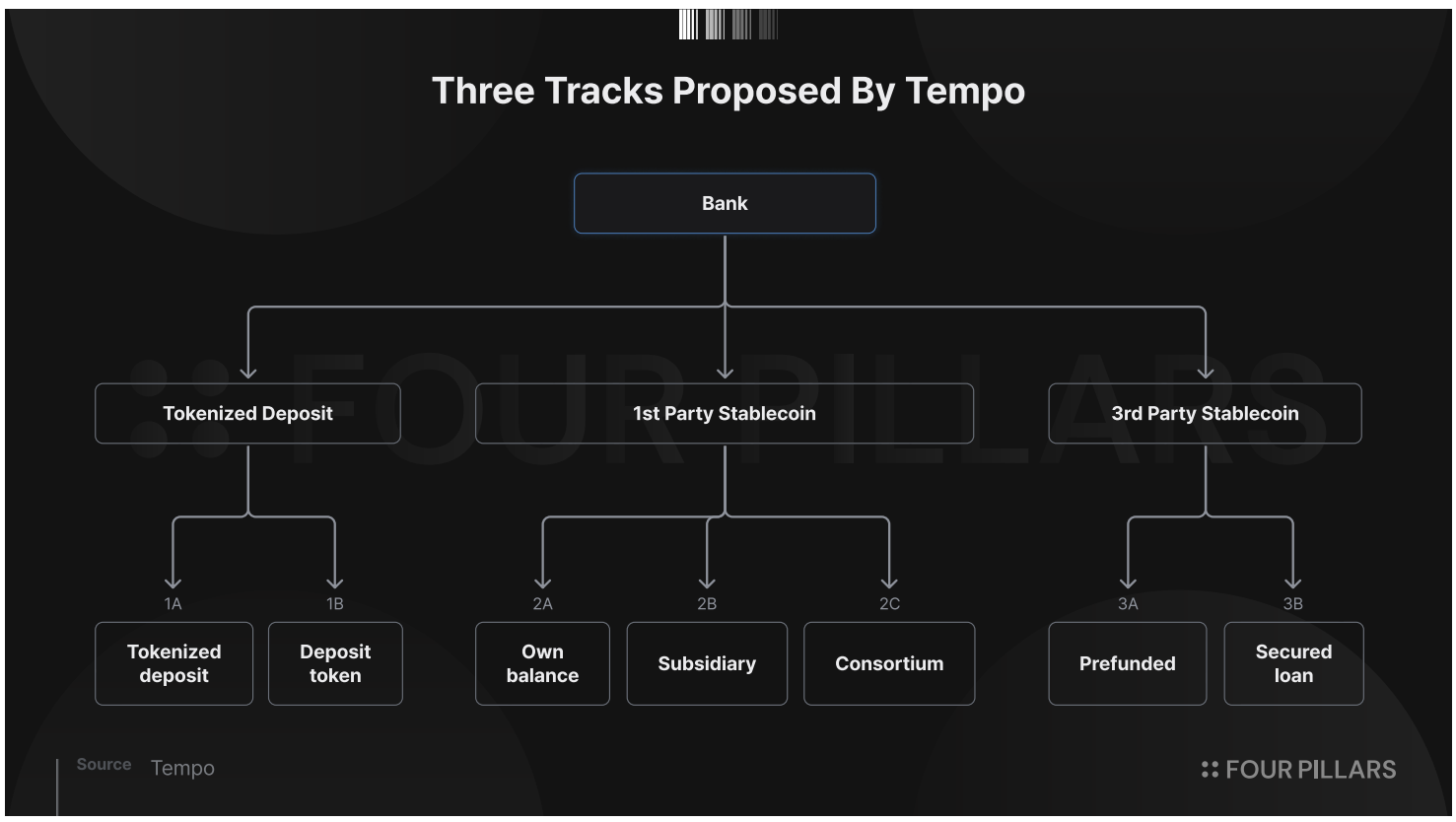
3. Korean Banks Need to Prepare in Three Ways

Section 2 showed that deposit tokens are the part of the national roadmap that only commercial banks can build, but current law prevents further progress. This section prices all three forms of tokenized money a Korean bank can offer, and then sets out what a bank loses by building none of them.

3.1 Three Tracks Proposed by Tempo

Tempo (a L1 blockchain incubated by Stripe)'s recent whitepaper "Tokenized Money for Banks" maps the money a bank can offer on tokenized rails into three families: tokenized deposits, bank issued stablecoins, and third party stablecoins.

For a Korean bank, those three families translate into three tracks with very different costs in funding stability and regulatory capital. Korea's legislative calendar also gates when each track opens, so Korea banks need to understand the whole tracks to prepare for all the scenarios.



Source: Tokenized Money for Banks (Tempo)

1. Family 1, tokenized deposit, keeps the customer claim as a deposit and changes only the rail (tokenized deposits and deposit tokens). Funding stability survives because the tokenized claim inherits the underlying deposit's treatment. This is the Project Hangang track, and it is the one fully available in Korea today. However, Deposit Token (1B) which is the public version of tokenized deposit, is not available.

2. Family 2, 1st party stablecoin, converts the claim into a redemption contract against segregated reserves, whether the bank issues alone, through a subsidiary, or through a consortium. Basel SCO60 treats the redemption liability as a 100% liquidity outflow with zero stable funding credit, the most punitive pairing in the framework, and a conversion of existing deposits pays that cost without bringing in new cash. In Korea this track stays blocked until the Digital Asset Basic Act passes, which is exactly why the consortium exists as preparation rather than product.

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3. Family 3 routes the client to a stablecoin issued by a third party, either by holding inventory or by lending against a blocked deposit. Holding inventory sacrifices high quality liquid assets, while the secured lending variant keeps the prudential cost with the client rather than the bank. This is the only track that reaches the offshore venues where Korean institutional flow already trades.

The weighting between the families is franchise specific because Korean banks do not share one balance sheet. A nationwide bank with a heavy retail deposit base has the most to lose from deposit migration, so its anchor is Track 1, where the deposit guarantee and the familiar Basel treatment carry over inside Project Hangang. An internet only bank or a transaction focused lender can lean into Tracks 2 and 3 earlier because its loan funding base is less exposed to the conversion cost.

Even a single client will end up using all three tracks. A Korean securities firm might post margin on a bank's deposit token network on a weekday, hedge weekend exposure through a dollar stablecoin on an offshore venue, and later rebalance through a consortium issued won stablecoin once the law permits one to exist. A bank that builds only one track serves a fraction of that client and invites a competitor into the rest.

3.2 Don't be Left Out

The competition for tokenized won is already underway inside Korea. Circle signed MOUs with Kakao Group and Toss in July 2026 to prepare stablecoin payment rails ahead of legislation, and Naver and Kakao are preparing won stablecoin plans on platforms that reach tens of millions of daily users. S&P Global Ratings notes that nonbank issuers such as Naver Financial or Kakao Pay could integrate won stablecoins directly into their existing payment ecosystems if the law permits them to issue.

Meanwhile the flow a Korean bank would serve keeps leaving. The Financial Services Commission estimates that 60 billion dollars in crypto moved from Korean exchanges to overseas platforms and private wallets in the second half of 2025, and another 47 trillion won followed in the first half of 2026. Korean exchanges have also recorded net stablecoin outflows for 18 consecutive months through June 2026, and each month of migration converts settlement activity a Korean bank could have intermediated into fee revenue for offshore venues and dollar stablecoin issuers.

The definition of money, which meant a number in a bank account, is shifting and banks need to be prepared.

Key Takeaways

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